

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

AENEAS EXPORTING LLC, *Complainant*

v.

CARLO SHIPPING INTERNATIONAL INC., *Respondent*.

DOCKET NO. 20-11

Served: August 24, 2020

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING JOINT STATUS REPORT

On August 11, 2020, Complainant Aeneas Exporting LLC filed a motion requesting dismissal with prejudice pursuant to 46 U.S.C. § 503.72(a)(3) of the claim it filed against Respondent Carlo Shipping International Inc. The motion stated:

In order to ensure the release of its 24 containers, continued detention of which threatened to put Aeneas out of business, Aeneas agreed to dismiss this proceeding, as well as a related federal lawsuit filed in the District of New Jersey (the “Federal Suit”), and to pay Respondent a sum of \$40,000. . . . Because the parties were unable to reach an agreement regarding the outstanding demurrage charges and related penalties, no final settlement agreement with releases was signed. As a result, the parties have not agreed to fully release each other from all potential claims, allegations, or causes of action.

Motion at 1-2.

Attached to the motion was an email dated July 28, 2020, from Complainant’s counsel to Respondent outlining the settlement terms. The email identified the 24 vehicles to be released and the terms of payments for these and other vehicles. The email stated that “[w]hen both sides perform their obligations, they will exchange mutual releases so there can be no further claims about any pending claims Aeneas has against CSI has with Aeneas [sic] or involving the vehicles.” Exhibit A at 2. Neither the motion nor the exhibit was signed by Respondent.

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981). “While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092.

Additional information is required prior to ruling on the motion. Accordingly, the parties are hereby **ORDERED** to file a joint status report by September 9, 2020, addressing the following questions:

1. Have the 24 containers identified in Exhibit A been released to Complainant?
2. Have the payments from Complainant to Respondents identified in Exhibit A been released to Respondent?
3. Since the motion was filed, have the parties reached an agreement regarding the outstanding demurrage charges and related penalties?
4. Have mutual releases been exchanged between the parties and signed by all parties? If so, please provide a copy of the mutual release. If not, the parties should address whether dismissal without prejudice would be more appropriate.



Erin M. Wirth
Chief Administrative Law Judge